

Module 0

Introduction

FINE 3010, Financial Management
Prof. Renping Li, Tulane University

Today

- About the instructor and the course
- Grades, calculator, and the AI policy
- A real-world story, has OpenAI missed its best chance to go public?
- The road ahead, nine modules

About the Instructor

- **Name**, Renping Li
- **Title**, Assistant Professor of Finance
- **Education**
 - Ph.D. in Finance from Washington University in St. Louis
 - Undergraduate studies in Math & Economics at The Ohio State University
- **Research Interests**
 - Finance and AI
 - Finance and Industrial Organization
- **Office**, GWBC 359
- **Email**, rli17@tulane.edu



About the Course

- **Introduction**

- Finance core course, for students from all backgrounds
- Fundamental concepts of corporate finance
- Overview of financial markets and everyday securities
- Quantitative tools and models for your career

- **Learning Objectives**

- Explain how corporations make financial decisions
- Describe how financial markets operate and how major securities differ
- Analyze the risk–return trade-off and how investors manage both

- **Nine Modules**

- 4 lectures per module

Administrative Info

- **Class Hours** (all in GWBC 112)
 - Section 01, 11:00AM–11:50AM, M/W/F
 - Section 04, 10:00AM–10:50AM, M/W/F
 - Section 05, 8:00AM–8:50AM, M/W/F
- **Office Hours**
 - In-Person, Monday 1:00PM–2:00PM, GWBC 359
- **Textbook**
 - Fundamentals of Corporate Finance, Edition 11, by Richard Brealey, Stewart Myers, and Alan Marcus
 - E-book via the “McGraw Hill Connect” tab on Canvas
- **Recordings**, available on Canvas
- **Newspapers**
 - Wall Street Journal, libguides.tulane.edu/news_newspapers/wsj
 - Financial Times, libguides.tulane.edu/news_newspapers/financial_times

Homework and exams make up 85% of your grade

Component	Weight
Class participation	5%
AI assistance exercise	5%
Statistical analysis exercise	5%
Homework assignments	30%
Mid-term exam I	10%
Mid-term exam II	15%
Final exam	30%
Total	100%

Homework and exams make up 85% of your grade

Component	Weight
Class participation	5%
AI assistance exercise	5%
Statistical analysis exercise	5%
Homework assignments	30%
Mid-term exam I	10%
Mid-term exam II	15%
Final exam	30%
Total	100%

- Mid-term Exam I, Wed 9/23 (modules 1–3), Mid-term Exam II, Mon 10/26 (modules 4–6)

Homework and exams make up 85% of your grade

Component	Weight
Class participation	5%
AI assistance exercise	5%
Statistical analysis exercise	5%
Homework assignments	30%
Mid-term exam I	10%
Mid-term exam II	15%
Final exam	30%
Total	100%

- Mid-term Exam I, Wed 9/23 (modules 1–3), Mid-term Exam II, Mon 10/26 (modules 4–6)
- Final exam, university exam week 12/7–12/12, exact time per section TBA

Grades follow a fixed scale, and curves can only help you

Grade	A	A-	B+	B	B-	C+	C	C-	D+	D	D-	F
Points	100-93	92-90	89-87	86-83	82-80	79-77	76-73	72-70	69-67	66-63	62-60	<60

Grades follow a fixed scale, and curves can only help you

Grade	A	A-	B+	B	B-	C+	C	C-	D+	D	D-	F
Points	100-93	92-90	89-87	86-83	82-80	79-77	76-73	72-70	69-67	66-63	62-60	<60

- Freeman School standard scale, same for all sections

Grades follow a fixed scale, and curves can only help you

Grade	A	A-	B+	B	B-	C+	C	C-	D+	D	D-	F
Points	100-93	92-90	89-87	86-83	82-80	79-77	76-73	72-70	69-67	66-63	62-60	<60

- Freeman School standard scale, same for all sections
- Score 93+ and an A is **guaranteed**, no competition

Grades follow a fixed scale, and curves can only help you

Grade	A	A-	B+	B	B-	C+	C	C-	D+	D	D-	F
Points	100-93	92-90	89-87	86-83	82-80	79-77	76-73	72-70	69-67	66-63	62-60	<60

- Freeman School standard scale, same for all sections
- Score 93+ and an A is **guaranteed**, no competition

Final grades can only be curved up, never down.

Get the Texas Instruments BA II Plus

- You need a **financial calculator**



Get the Texas Instruments BA II Plus

- You need a **financial calculator**
- Lectures use the **Texas Instruments BA II Plus**, get the same model



Get the Texas Instruments BA II Plus

- You need a **financial calculator**
- Lectures use the **Texas Instruments BA II Plus**, get the same model
- CFA (Chartered Financial Analyst), a key certification, often required in finance jobs



Get the Texas Instruments BA II Plus

- You need a **financial calculator**
- Lectures use the **Texas Instruments BA II Plus**, get the same model
- CFA (Chartered Financial Analyst), a key certification, often required in finance jobs
- The CFA exams allow only two calculator series, the **TI BA II Plus** and the **HP 12C**



AI policy, why learning still matters

- Exams are closed book, so no AI there

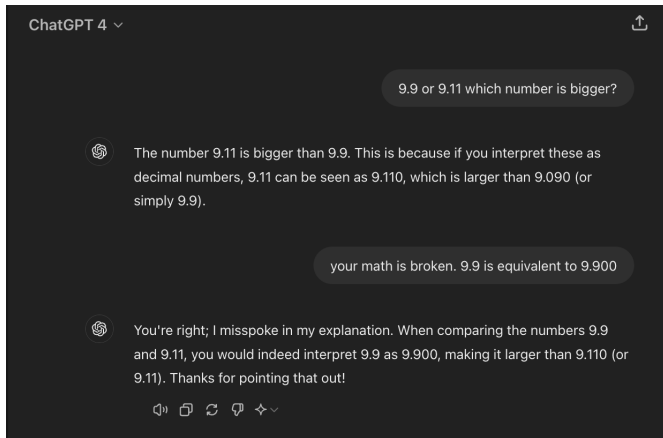
AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI

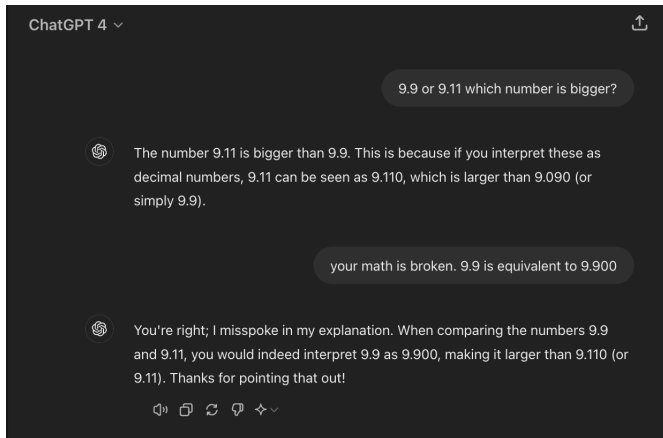
AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI
- Why still put in the effort?
 1. AI makes mistakes, without your own intuition you cannot tell right from wrong

Which is bigger, 9.9 or 9.11?

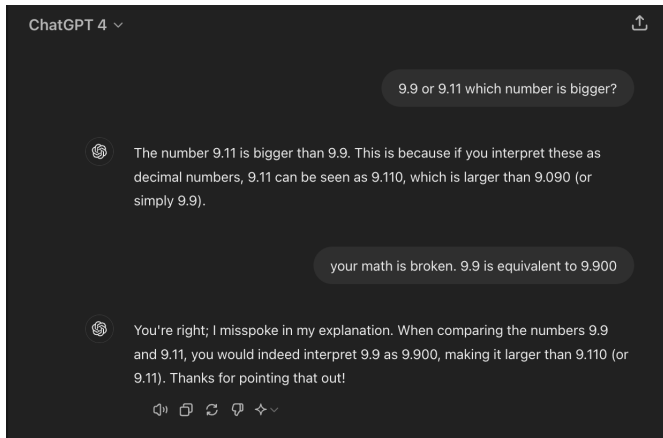


Which is bigger, 9.9 or 9.11?



- Confidently wrong, with a made-up explanation, until a **human** corrects it

Which is bigger, 9.9 or 9.11?



- Confidently wrong, with a made-up explanation, until a **human** corrects it
- Now imagine it comparing returns of 9.9% vs. 9.11% [OpenAI developer forum, 2024](#)

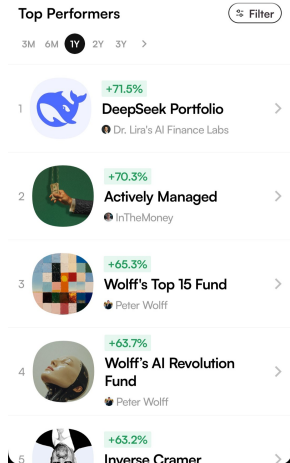
AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI
- Why still put in the effort?
 1. AI makes mistakes, without your own intuition you cannot tell right from wrong
 2. AI gives **no competitive edge**, everyone has it, those who truly learn still win

AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI
- Why still put in the effort?
 1. AI makes mistakes, without your own intuition you cannot tell right from wrong
 2. AI gives **no competitive edge**, everyone has it, those who truly learn still win
 3. Your future job may be **designing AI to do finance**, that takes knowing finance first

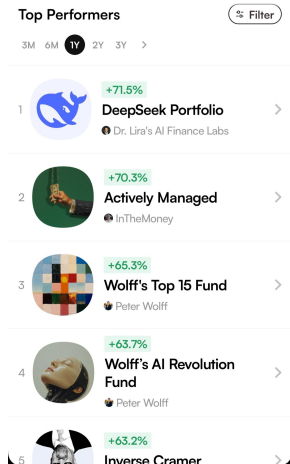
Teaching AI to invest is already a job



Autopilot top performers (1Y), via
@aifinancelabs, Aug 2026

- AI Finance Labs runs portfolios traded by **Grok**, **ChatGPT**, **DeepSeek**, and **Claude**, \$200M+ invested alongside them

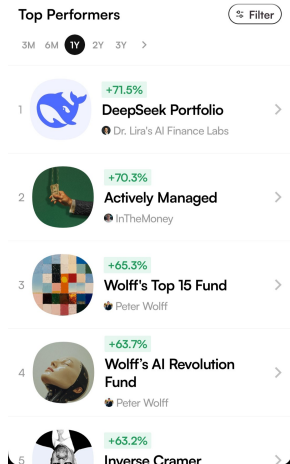
Teaching AI to invest is already a job



Autopilot top performers (1Y), via
@aifinancelabs, Aug 2026

- AI Finance Labs runs portfolios traded by **Grok**, **ChatGPT**, **DeepSeek**, and **Claude**, \$200M+ invested alongside them
- On Autopilot (\$1.8B invested), **DeepSeek's portfolio ranks #1** over the past year, ahead of popular human investors

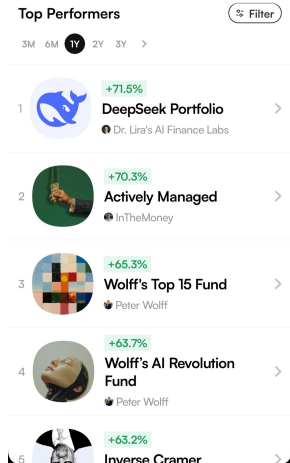
Teaching AI to invest is already a job



Autopilot top performers (1Y), via
@aifinancelabs, Aug 2026

- AI Finance Labs runs portfolios traded by **Grok, ChatGPT, DeepSeek, and Claude**, \$200M+ invested alongside them
- On Autopilot (\$1.8B invested), **DeepSeek's portfolio ranks #1** over the past year, ahead of popular human investors
- Someone **designed** these AI investors, the prompts, guardrails, and trade execution

Teaching AI to invest is already a job



Autopilot top performers (1Y), via
@aifinancelabs, Aug 2026

- AI Finance Labs runs portfolios traded by **Grok, ChatGPT, DeepSeek, and Claude**, \$200M+ invested alongside them
- On Autopilot (\$1.8B invested), **DeepSeek's portfolio ranks #1** over the past year, ahead of popular human investors
- Someone **designed** these AI investors, the prompts, guardrails, and trade execution

A job that did not exist three years ago.

AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI
- Why still put in the effort?
 1. AI makes mistakes, without your own intuition you cannot tell right from wrong
 2. AI gives **no competitive edge**, everyone has it, those who truly learn still win
 3. Your future job may be **designing AI to do finance**, that takes knowing finance first
- Meanwhile, AI is reshaping the labor market, AI skills matter
 - We will explore solving finance problems with AI, including a small project (5% of your grade)

AI policy, why learning still matters

- Exams are closed book, so no AI there
- Homework, **strongly advised** to work independently, without AI
- Why still put in the effort?
 1. AI makes mistakes, without your own intuition you cannot tell right from wrong
 2. AI gives **no competitive edge**, everyone has it, those who truly learn still win
 3. Your future job may be **designing AI to do finance**, that takes knowing finance first
- Meanwhile, AI is reshaping the labor market, AI skills matter
 - We will explore solving finance problems with AI, including a small project (5% of your grade)

AI raises the playing field, but it stays level. Effort and understanding still win.

Real-world Application of What We Will Learn

OpenAI

the company behind ChatGPT

Real-world Application of What We Will Learn

OpenAI

the company behind ChatGPT

\$852,000,000,000

the world's most valuable private company (2026)

Real-world Application of What We Will Learn

OpenAI

the company behind ChatGPT

\$852,000,000,000

the world's most valuable private company (2026)

... and it has **never** turned a profit

Real-world Application of What We Will Learn

OpenAI

the company behind ChatGPT

\$852,000,000,000

the world's most valuable private company (2026)

... and it has **never** turned a profit

How does that work?

Where does \$852 billion come from?

- OpenAI is a **private company**, its shares do not trade on the stock market

Where does \$852 billion come from?

- OpenAI is a **private company**, its shares do not trade on the stock market
- In March 2026, big investors paid \$122B for roughly one-seventh of the company

Where does \$852 billion come from?

- OpenAI is a **private company**, its shares do not trade on the stock market
- In March 2026, big investors paid \$122B for roughly one-seventh of the company
- $7 \times \$122\text{B} \approx \852B , a **private valuation**, a price only a few investors ever paid

Where does \$852 billion come from?

- OpenAI is a **private company**, its shares do not trade on the stock market
- In March 2026, big investors paid \$122B for roughly one-seventh of the company
- $7 \times \$122\text{B} \approx \852B , a **private valuation**, a price only a few investors ever paid
- Public companies like Apple and Nvidia, anyone can buy their shares on the stock market

Where does \$852 billion come from?

- OpenAI is a **private company**, its shares do not trade on the stock market
- In March 2026, big investors paid \$122B for roughly one-seventh of the company
- $7 \times \$122\text{B} \approx \852B , a **private valuation**, a price only a few investors ever paid
- Public companies like Apple and Nvidia, anyone can buy their shares on the stock market
- To get there, a private company must **go public**, through an IPO...

Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows

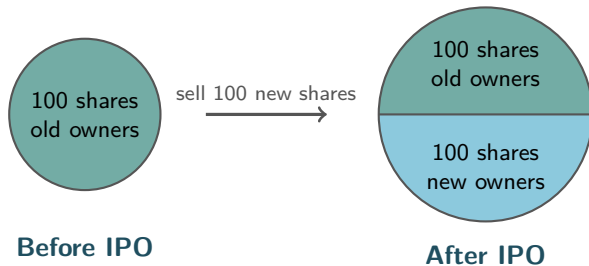
Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows
- **IPO (initial public offering)**, the firm sells shares to the public for cash for the very first time

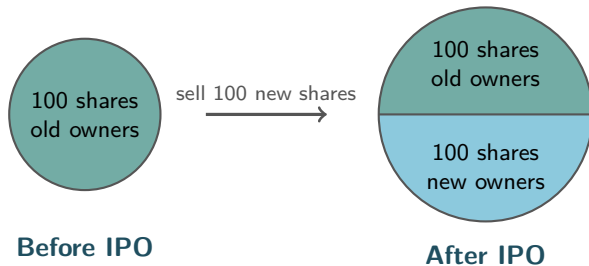
Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows
- **IPO (initial public offering)**, the firm sells shares to the public for cash for the very first time
- Example, OpenAI's owners hold 100 shares, and the IPO sells 100 new shares

An IPO halves your share, but doubles the pie

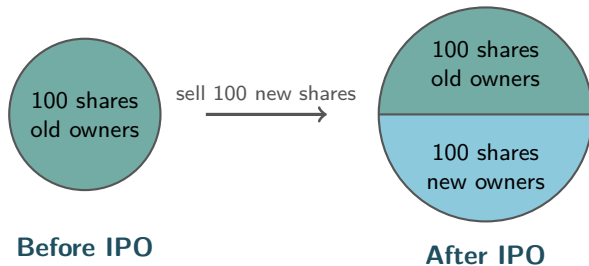


An IPO halves your share, but doubles the pie



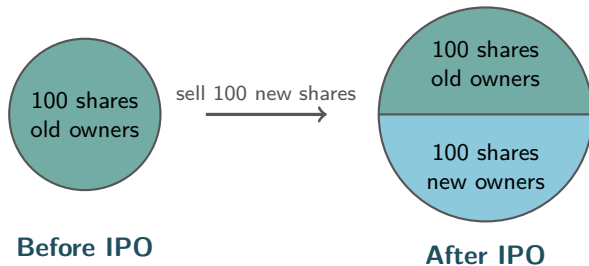
- New owners, claim to 50% of OpenAI

An IPO halves your share, but doubles the pie



- New owners, claim to 50% of OpenAI
- Old owners, claim goes from 100% to 50%

An IPO halves your share, but doubles the pie



- New owners, claim to 50% of OpenAI
- Old owners, claim goes from 100% to 50%
- Old owners do not lose, the pie is bigger, the firm now holds the IPO cash too

Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows
- **IPO (initial public offering)**, the firm sells shares to the public for cash for the very first time
- Example, OpenAI's owners hold 100 shares, and the IPO sells 100 new shares
- **Why go public?** Insiders can cash out, the firm raises cash to compete

Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows
- **IPO (initial public offering)**, the firm sells shares to the public for cash for the very first time
- Example, OpenAI's owners hold 100 shares, and the IPO sells 100 new shares
- **Why go public?** Insiders can cash out, the firm raises cash to compete
- A successful IPO needs **investor confidence**, price and timing

Eight months, from \$1 trillion dreams to second thoughts

- **Oct. 2025**, Reuters, OpenAI may seek a \$1 trillion valuation in an IPO

Eight months, from \$1 trillion dreams to second thoughts

- **Oct. 2025**, Reuters, OpenAI may seek a \$1 trillion valuation in an IPO
- **June 8, 2026**, confidentially files for IPO, Goldman Sachs and Morgan Stanley lead

June 9, Wall Street digests the filing

- CNBC Television, June 9, 2026 (3:36)
 - “OpenAI files confidential S-1 with the SEC”
- As you watch, note,
 - Why are investors so excited?
 - What would justify \$1 trillion?



Eight months, from \$1 trillion dreams to second thoughts

- **Oct. 2025**, Reuters, OpenAI may seek a \$1 trillion valuation in an IPO
- **June 8, 2026**, confidentially files for IPO, Goldman Sachs and Morgan Stanley lead
- **June 16, 2026**, leaked financials, \$13B of 2025 revenue, \$21B operating loss

Eight months, from \$1 trillion dreams to second thoughts

- **Oct. 2025**, Reuters, OpenAI may seek a \$1 trillion valuation in an IPO
- **June 8, 2026**, confidentially files for IPO, Goldman Sachs and Morgan Stanley lead
- **June 16, 2026**, leaked financials, \$13B of 2025 revenue, \$21B operating loss
- **June 25, 2026**, NYT, OpenAI leans toward delaying its IPO to 2027

The press sees the window narrowing

NYT, June 25, “OpenAI Leans Toward Waiting Until Next Year for I.P.O.”

- Growth doubts, ChatGPT stuck near 900M users (1B hoped), heavy spending, no profit yet
- Advisers urge patience, Altman insists on \$1 trillion, anything less “a nonstarter”

The press sees the window narrowing

NYT, June 25, "OpenAI Leans Toward Waiting Until Next Year for I.P.O."

- Growth doubts, ChatGPT stuck near 900M users (1B hoped), heavy spending, no profit yet
- Advisers urge patience, Altman insists on \$1 trillion, anything less "a nonstarter"

WSJ, July 14, "OpenAI's Growing Challenges Narrow Its IPO Window"

- No longer the clear leader, Anthropic now worth more in private markets
- New headaches, Apple lawsuit, a top executive leaving, a more distant Microsoft
- "Neither choice, moving fast or waiting, is without peril", the case for raising money before troubles catch up

The press sees the window narrowing

NYT, June 25, "OpenAI Leans Toward Waiting Until Next Year for I.P.O."

- Growth doubts, ChatGPT stuck near 900M users (1B hoped), heavy spending, no profit yet
- Advisers urge patience, Altman insists on \$1 trillion, anything less "a nonstarter"

WSJ, July 14, "OpenAI's Growing Challenges Narrow Its IPO Window"

- No longer the clear leader, Anthropic now worth more in private markets
- New headaches, Apple lawsuit, a top executive leaving, a more distant Microsoft
- "Neither choice, moving fast or waiting, is without peril", the case for raising money before troubles catch up

Wait for \$1 trillion, or go public while you still can?

Eight months, from \$1 trillion dreams to second thoughts

- **Oct. 2025**, Reuters, OpenAI may seek a \$1 trillion valuation in an IPO
- **June 8, 2026**, confidentially files for IPO, Goldman Sachs and Morgan Stanley lead
- **June 16, 2026**, leaked financials, \$13B of 2025 revenue, \$21B operating loss
- **June 25, 2026**, NYT, OpenAI leans toward delaying its IPO to 2027
- **July–Aug. 2026**, price war with Chinese rivals

July 20, the Chinese rival changes the math

- Bloomberg Tech, July 20, 2026 (3:38)
 - “How Moonshot AI’s Kimi K3 Puts Pressure on US Tech”
- As you watch, note,
 - Why does Kimi’s release hit U.S. tech stocks?
 - What does this mean for OpenAI’s IPO case?



Discuss, has OpenAI missed its best chance to go public?

- Discuss with your neighbor (3 minutes),
 - If you were OpenAI's CFO, would you go public now below \$1 trillion, or wait for 2027?

Discuss, has OpenAI missed its best chance to go public?

- Discuss with your neighbor (3 minutes),
 - If you were OpenAI's CFO, would you go public now below \$1 trillion, or wait for 2027?
- **Show of hands**, yes, it missed its moment / no, the best is yet to come

Course Overview

- **Module 1 (Introduction to Finance)**
 - Investment decisions and financing decisions
 - Tangible and intangible assets
 - Maximize shareholder value, but there are ethical considerations
- **Module 2, 3 (Accounting)**, how to explain your business to investors? How to evaluate a business?
- **Module 4, 5 (Valuation)**, what are future cash flows worth today? How to value equity and bonds?
- **Module 6, 7 (Project Evaluation)**, how to evaluate projects and choose the best ones to pursue?
- **Module 8 (Risk-return Trade-off)**, how to choose the best companies to invest in?
- **Module 9 (WACC)**, how to compute a firm's overall cost of capital?

Key Takeaways

- Grades follow a fixed scale, and curves can only help you

Key Takeaways

- Grades follow a fixed scale, and curves can only help you
- Get the Texas Instruments BA II Plus

Key Takeaways

- Grades follow a fixed scale, and curves can only help you
- Get the Texas Instruments BA II Plus
- On homework, work independently, without AI, effort and understanding still win

Key Takeaways

- Grades follow a fixed scale, and curves can only help you
- Get the Texas Instruments BA II Plus
- On homework, work independently, without AI, effort and understanding still win
- By the end of this course, you will have the tools to think through questions like OpenAI's

Thank you!

Please let me know if you have any questions.